

AuditLens

Statutory audit analytical review for Indian companies

A trial balance goes in. The face of the Schedule III financial statements, the eleven mandated ratios, SA 240 journal entry testing, an SA 530 sample and the CARO 2020 checklist come out.

Schedule III

SA 240

SA 320

SA 530

CARO 2020

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AICA Level 2 · Module C Capstone Project · Batch 104

Every statutory audit begins with the same week

A trial balance is mapped to Schedule III. Eleven ratios that the Ministry of Corporate Affairs made mandatory in 2021 are computed, and any that moved more than 25 per cent must be explained in the notes. Journal entries are tested for management override. Materiality is determined, a sample selected, and twenty-one CARO clauses worked through.

It is identical across clients. It consumes the opening week of every engagement. And in most firms it is done by hand, in a spreadsheet that is rebuilt each year.

For the mid-sized manufacturer used in this demonstration, that means sixty-one ledgers to classify, nine hundred and eighteen journal entries to test, and twenty-one clauses to answer — before any audit evidence is looked at.

11

ratios mandated by
Schedule III since FY 2021-22

21

CARO 2020 clauses,
every one to be answered

6

journal entry routines
required under SA 240

What the application does

Eight modules. Seven of them answer to a provision.

1

Ingest

Trial balance and general ledger in whatever shape the client exported them - aliased headers, Indian number formats, bracketed negatives.

3

Present

Schedule III

The Balance Sheet and Statement of Profit and Loss, with an honest reconciliation when they do not tie.

5

Test

SA 240

Six journal entry routines plus the Benford first-digit test.

7

Report

CARO 2020

Applicability and all twenty-one clauses, pre-populated from what the books evidence.

2

Map

Schedule III

Every ledger to a Division I presentation head, on the account code first and the ledger name second.

4

Measure

G.S.R. 207(E)

The eleven mandated ratios, with every movement beyond 25 per cent flagged for the notes.

6

Sample

SA 320 / SA 530

Materiality from the auditor's benchmark, and a monetary unit sample with the seed recorded.

8

Draft

The analytical memorandum, the ratio variance notes, and the enquiry letter to management.

The design decision that matters

The engine computes. The model writes prose. Nothing else.

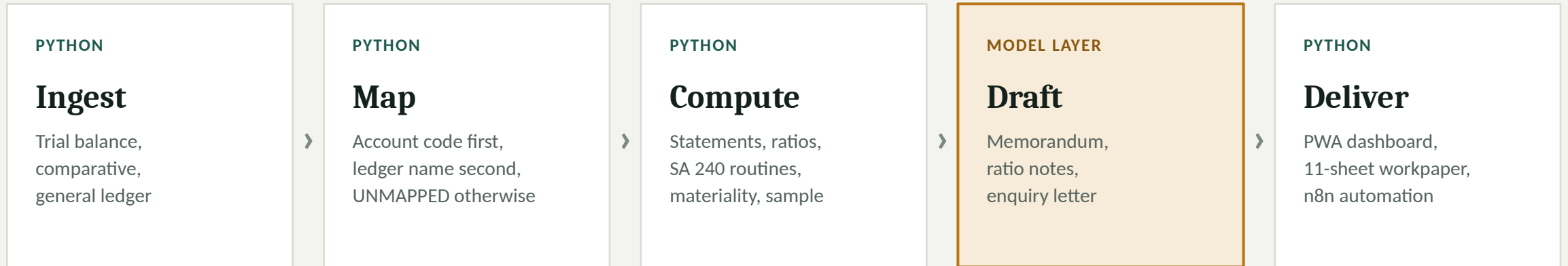
Every figure that reaches a workpaper is produced by a pure Python function with a unit test. The language model is asked for two things only — an explanation in words, and correspondence.

- It never computes a figure.
- It never classifies a ledger that reaches the statements.
- It never concludes on a CARO clause.

A Chartered Accountant signs the report. Every number in it has to be traceable to a calculation that can be re-performed.

How it is put together

A thin interface, a deterministic core, and a model layer that only ever reads and writes.



Only the fourth stage touches the language model — and it receives figures the engine has already computed. Remove the model entirely and the analytical review is unchanged; only the prose falls back to a template.

Ingest, and the ledgers it refuses to guess

Schedule III, Division I

Fifty-nine of sixty-one ledgers were mapped on the account code, and the engine says nothing about them. Two are in this queue: one it mapped on the ledger name, and one it could not map at all.

It returned UNMAPPED rather than guessing, because a mis-mapped ledger appears on the face of the financial statements.

- Click "Use the sample client" - say the client is fictitious and no client data is used anywhere
- Let the summary tiles land, then open the Mapping queue tab
- Point at the suspense account row and the word UNMAPPED

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Bharat Precision Components Private Limited · 2024-25
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REVENUE ₹21.84 cr 2024-25	PROFIT BEFORE TAX ₹2.57 cr	TOTAL ASSETS ₹20.93 cr	OVERALL MATERIALITY ₹12.87 lakh Performance ₹9.65 lakh
RATIOS TO EXPLAIN 4 Movement beyond 25%	ENTRIES SELECTED 18 of 918 under SA 240	MAPPING COVERAGE 98.4% 2 awaiting review	TRIAL BALANCE Tallies

The balance sheet is out by Rs -4,20,000.00, which is exactly the Rs 4,20,000.00 sitting in ledgers the engine could not classify. Clear the unmapped queue and the statements will tie.

[Ratios](#)
[Statements](#)
[Mapping queue](#)
[Journal entries](#)
[Sample](#)
[CARO 2020](#)
[Drafts](#)

Ledgers awaiting your classification

Mapped on the account code, the engine is certain and says nothing. Everything below was mapped on the ledger name, or could not be mapped at all, and needs your confirmation before it reaches the face of the statements.

CODE	LEDGER NAME	SUGGESTED HEAD	MAPPED ON	CONFIDENCE	MATCHED ON
9911	Capital advance for machinery under installation	Other non-current assets	keyword	75%	capital advance
9999	Suspense account - to be cleared	UNMAPPED	could not map	—	—

Machine-generated analytical output. Every figure, selection and draft in this workpaper requires the review and professional judgement of a Chartered Accountant before it is relied upon or issued.

A balance sheet that does not tie — and says so

The strongest 30 seconds in the demo

The balance sheet is out by four lakh twenty thousand rupees — exactly the amount sitting in the suspense account the engine refused to classify.

A lesser tool would force that difference to a rounding line and produce statements that tie and are wrong.

- Open the Statements tab
- Point at the reconciliation banner and read the figure out loud
- Say what a tool that forced the difference would have produced


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Face of the financial statements

Schedule III, Division I presentation, built from the mapped trial balance.

Balance Sheet

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
EQUITY AND LIABILITIES	—	—
Shareholders' funds	—	—
Share capital	2,50,00,000.00	2,50,00,000.00
Reserves and surplus	7,45,10,000.00	5,27,00,000.00
Total shareholders' funds	9,95,10,000.00	7,77,00,000.00
Non-current liabilities	—	—
Long-term borrowings	3,10,00,000.00	3,85,00,000.00
Deferred tax liabilities (net)	28,40,000.00	25,10,000.00
Long-term provisions	34,20,000.00	30,80,000.00
Total non-current liabilities	3,72,60,000.00	4,40,90,000.00
Current liabilities	—	—
Short-term borrowings	1,92,00,000.00	1,18,00,000.00
Trade payables	4,14,60,000.00	3,23,80,000.00
Other current liabilities	71,30,000.00	60,00,000.00
Short-term provisions	52,00,000.00	61,00,000.00
Total current liabilities	7,29,90,000.00	5,62,80,000.00
TOTAL - EQUITY AND LIABILITIES	20,97,60,000.00	17,80,70,000.00
ASSETS	—	—

Statement of Profit and Loss

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Income	—	—
Revenue from operations	21,84,40,000.00	17,59,20,000.00
Other income	15,30,000.00	15,60,000.00
Expenses	—	—
Cost of materials consumed	12,84,60,000.00	10,36,40,000.00
Changes in inventories of finished goods, WIP and stock-in-trade	44,00,000.00	18,60,000.00
Employee benefits expense	2,57,20,000.00	2,26,80,000.00
Finance costs	60,60,000.00	58,20,000.00
Depreciation and amortisation expense	76,20,000.00	69,60,000.00
Other expenses	3,07,70,000.00	2,62,10,000.00
Tax expense	—	—
Current tax	62,00,000.00	71,00,000.00
Deferred tax	3,30,000.00	2,80,000.00

The eleven ratios Schedule III requires

G.S.R. 207(E) dated 24 March 2021

Inserted by MCA notification G.S.R. 207(E) dated 24 March 2021, applicable from FY 2021-22. Four ratios moved beyond twenty-five per cent and must be explained in the notes.

The movements are shown in neutral colour. Whether a fall in the debt-equity ratio is favourable is the auditor's judgement, not a colour the tool assigns.

- Open the Ratios tab
- Read the citation off the panel heading
- Open one flagged card and read its numerator and denominator aloud
- Point out that the movement is not coloured green or red

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The eleven ratios required by Schedule III

Inserted by MCA notification G.S.R. 207(E) dated 24 March 2021. Schedule III requires an explanation in the notes wherever a ratio moves by more than 25 per cent against the preceding year.

Current Ratio 1.50 times Previous 1.55 · -3.2% Current assets ÷ Current liabilities ₹10.94 cr ÷ ₹7.30 cr	Debt-Equity Ratio 0.63 times Previous 0.71 · -11.3% Total debt (long-term + short-term borrowings) ÷ Shareholders' equity ₹5.02 cr ÷ ₹8.03 cr	Debt Service Coverage Ratio 2.43 times Previous 1.46 · +66.4% Earnings available for debt service (PAT + depreciation + finance costs) ÷ Debt service (finance costs + principal repayments) ₹3.29 cr ÷ ₹1.36 cr EXPLANATION REQUIRED
Return on Equity Ratio 25.38% Previous 9.36% · +171.2% Profit after tax ÷ Average shareholders' equity ₹1.92 cr ÷ ₹7.57 cr EXPLANATION REQUIRED	Inventory Turnover Ratio 3.33 times Previous 3.09 · +7.8% Cost of goods sold ÷ Average inventory ₹12.41 cr ÷ ₹3.72 cr	Trade Receivables Turnover Ratio 5.20 times Previous 5.32 · -2.3% Net credit sales ÷ Average trade receivables ₹20.10 cr ÷ ₹3.86 cr
Trade Payables Turnover Ratio 3.31 times Previous 3.04 · +8.9% Net credit purchases ÷ Average trade payables ₹12.20 cr ÷ ₹3.69 cr	Net Capital Turnover Ratio 6.01 times Previous 5.64 · +6.6% Net sales ÷ Working capital (current assets less current liabilities) ₹21.84 cr ÷ ₹3.64 cr	Net Profit Ratio 8.79% Previous 3.78% · +132.5% Profit after tax ÷ Net sales ₹1.92 cr ÷ ₹21.84 cr EXPLANATION REQUIRED
Return on Capital Employed 23.85% Previous 16.03% · +48.8% Earnings before interest and tax ÷ Capital employed (net worth + total debt + deferred tax liability)	Return on Investment 18.00% Previous 18.35% · -1.9% Income from investments ÷ Cost of investments ₹15.30 lakh ÷ ₹85.00 lakh	Disclosure position 4 of 11 4 ratios moved beyond 25 per cent and must be explained in

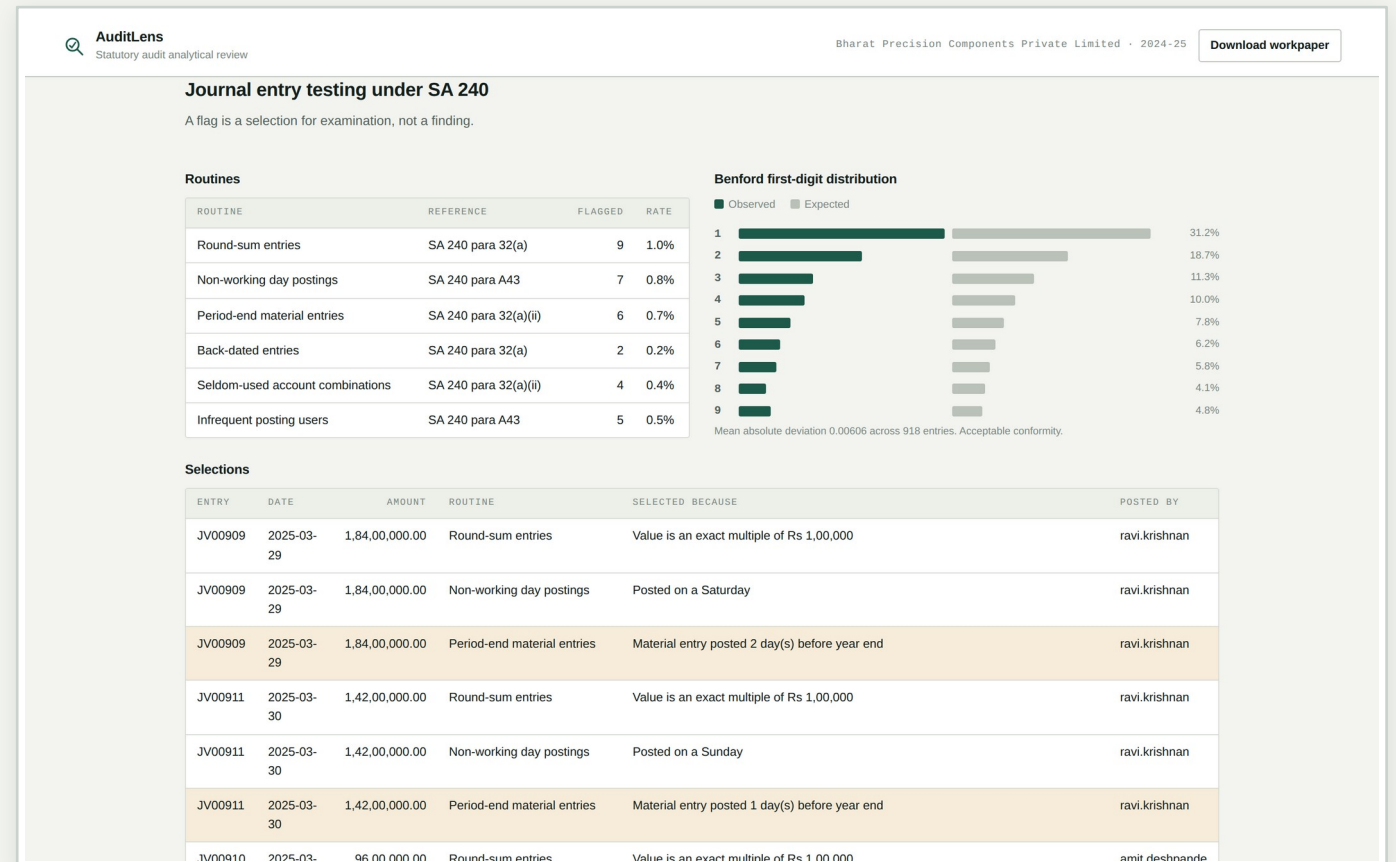
Journal entry testing under SA 240

SA 240

SA 240 requires the auditor to test journal entries, because management override of controls is a risk in every entity. Six routines, and every flag rate is under one per cent — so the output is a work programme, not a haystack.

The population conforms to Benford, which is what makes the other routines' findings worth looking at.

- Open the Journal entries tab
- Walk the six routines and their flag rates
- Point at the Benford chart and read the conclusion
- Say: a flag is a selection for examination, not a finding



When the tool says sampling is the wrong answer

SA 530 / SA 520

The sample is arithmetically correct and professionally useless: it covers fifty-one per cent of the population.

So the tool says so, and points to controls reliance, substantive analytical procedures under SA 520, or stratification instead. The seed and random start are recorded so a reviewer can re-perform the selection exactly.

- Open the Sample tab
- Read the warning banner aloud
- Point at the seed and the random start


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Monetary unit sample under SA 530

The seed and the random start are recorded so a reviewer can re-perform the selection exactly.

The computed sample of 466 items covers 51% of the population. Sampling is not an efficient response here. Consider testing controls and relying on them, applying substantive analytical procedures under SA 520, stratifying the population, or revisiting the materiality benchmark.

The population of Rs 39,79,99,566 is 412 times tolerable misstatement. Confirm that the whole population is the intended sampling frame rather than a stratum within it.

PARAMETER	VALUE
Population size	918 items
Population value	₹39,79,99,566.00
Sampling interval	₹3,21,750.00
Random start	₹2,55,653.19
Seed (for re-performance)	20250401
Sample size	466 items
Value coverage	93.0%

Items selected

#	IDENTIFIER	DESCRIPTION	AMOUNT	SELECTED BECAUSE
0	JV00001	Electricity charges	4,94,832.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
3	JV00004	Sale invoice raised	15,13,143.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
6	JV00007	Sale invoice raised	5,92,895.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
10	JV00011	Purchase of raw material	16,11,191.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
13	JV00014	Sale invoice raised	27,29,053.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
16	JV00017	Collection from customer	13,76,066.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00
20	JV00021	Collection from customer	4,89,592.00	Individually significant - at or above the sampling interval of Rs 3,21,750.00

CARO 2020 — twenty-one clauses, none of them answered

CARO 2020, paragraph 3

Applicability is tested under paragraph 1(2) first. Then all twenty-one clauses, eight of them pre-populated with what the books actually evidence.

Not one is concluded. Every clause comes back with an empty auditor response, because concluding on a CARO clause is not the tool's to do.

- Open the CARO 2020 tab
- Read the applicability line at the top
- Scroll to clause (xvii) or (xix) and show the evidence it pulled from the books


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CARO 2020 — paragraph 3 clause checklist

CARO 2020 applies to this company. Paid-up capital of Rs 2,50,00,000 and turnover of Rs 21,84,40,000 are within the small company thresholds; confirm the company is not a holding or subsidiary of a public company. None of the exemptions in paragraph 1(2) are satisfied.

(i)	Property, plant and equipment and intangible assets Maintenance of records, physical verification, title deeds held in the company's name, revaluation, and proceedings under the Benami Transactions (Prohibition) Act, 1988. Property, plant and equipment of Rs 7,70,40,000.00 appears in the trial balance. Obtain the fixed asset register, physical verification report and title deeds.
(ii)	Inventory and working capital limits Physical verification of inventory and its coverage and discrepancies; and, where working capital limits above Rs 5 crore are sanctioned against current assets, agreement of the quarterly returns filed with banks to the books of account. Inventory of Rs 4,14,50,000.00 at the year end. Obtain the physical verification report. Working capital limits exceed Rs 5 crore - agree the quarterly returns filed with the bank to the books.
(iii)	Investments, guarantees, security and loans or advances Particulars of investments made, guarantees or security given, and loans or advances in the nature of loans granted, with terms, repayment schedule and overdue amounts. Auditor input required
(iv)	Loans to directors and investments under sections 185 and 186 Compliance with sections 185 and 186 of the Companies Act, 2013 in respect of loans, investments, guarantees and security. Auditor input required
(v)	Deposits Compliance with sections 73 to 76, the deposit rules, and any directions of the Reserve Bank of India in respect of deposits or amounts deemed to be deposits. Auditor input required
(vi)	Cost records Maintenance of cost records prescribed under section 148(1) where applicable. Auditor input required

What the model is actually allowed to do

Day 1 • Day 2

The memorandum, the ratio variance notes and the enquiry letter to management — drafted from versioned system instructions held as files in the repository.

Notice the bracketed instruction: management to state the commercial reason. The prompt forbids inventing one.

- Open Drafts and click Generate
- Read one ratio note and point at the bracketed instruction
- Switch to the repo and open prompts/ — show the four files and a changelog


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Drafts for your review

The model writes prose; it never computes a figure and never concludes on a clause. Every draft below is a starting point requiring your judgement.

Generate drafts
6 draft(s) ready for your review.

Analytical review memorandum

Drafted from the offline template - no API key configured - analytical_memorandum.md

ANALYTICAL REVIEW MEMORANDUM
Bharat Precision Components Private Limited - financial year 2024-25

Client: Bharat Precision Components Private Limited
Financial year: 2024-25
Revenue: Rs 21.84 crore (+24.2 per cent)
Profit before tax: Rs 2.57 crore (+83.5 per cent)
Profit after tax: Rs 1.92 crore
Total assets: Rs 20.93 crore
Overall materiality: Rs 12.87 lakh (5.00% of profit before tax)
Ratios requiring explanation under Schedule III: Debt Service Coverage Ratio, Return on Equity Ratio, Net Profit Ratio, Return on Capital Employed
Journal entries selected under SA 240: 18 of 918
Benford first-digit test: Acceptable conformity.
Schedule III mapping coverage: 98.4%, 2 ledger(s) awaiting the auditor's confirmation
Balance sheet: The balance sheet is out by Rs -4,20,000.00, which is exactly the Rs 4,20,000.00 sitting in ledgers the engine could not classify. Clear the unmapped queue and the statements will tie.

Matters for the engagement partner's attention:

- Debt Service Coverage Ratio moved +66.4 per cent and requires an explanation in the notes under Schedule III.
- Return on Equity Ratio moved +171.2 per cent and requires an explanation in the notes under Schedule III.
- Net Profit Ratio moved +132.5 per cent and requires an explanation in the notes under Schedule III.
- Return on Capital Employed moved +48.8 per cent and requires an explanation in the notes under Schedule III.
- 2 ledger(s) could not be mapped to Schedule III with full confidence and require the auditor's classification.
- The computed sample of 466 items covers 51% of the population. Sampling is not an efficient response here. Consider testing controls and relying on them, applying substantive analytical procedures under SA 520, stratifying the population, or revisiting the materiality benchmark.
- The population of Rs 39,79,99,566 is 412 times tolerable misstatement. Confirm that the whole population is the intended sampling frame rather than a stratum within it.

Machine-generated analytical output. Every figure, selection and draft in this workpaper requires the review and professional judgement of a Chartered Accountant before it is

Automation, deployment, and how it is verified

Day 4 • Day 5

Two n8n workflows: a quarterly analytical review that emails the engagement partner only when there is something to see, and a journal entry alert.

The application installs as a progressive web app. And the whole engine is covered by one hundred and twenty-four tests.

- Show the n8n canvas and an execution log
- Install the PWA on a phone or from the browser address bar
- Run `python -m pytest` in a second terminal window; let the 124 tests pass on camera

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Run an analytical review

Upload the trial balance, the comparative, and the general ledger. Everything is computed on the server and nothing is stored after the process ends.

Client name: Bharat Precision Components Privat | Financial year: 2024-25 | Year end: 03/31/2025 | Class of company: Private

Engagement parameters

Principal repayments during the year (Rs): 7500000
Used in the debt service coverage ratio; not derivable from the trial balance.

Proportion of revenue on credit: 0.92
Drives the trade receivables turnover ratio.

Proportion of purchases on credit: 0.95
Drives the trade payables turnover ratio.

Working capital limits sanctioned (Rs): 60000000
Above Rs 5 crore, CARO clause (i)(b) requires the quarterly returns to be agreed.

Materiality benchmark: Let the engine suggest one

Performance materiality: 75% of overall materiality
Lower where the expectation of misstatement is higher.

Trial balance — current year
Choose File | No file chosen
CSV or Excel. Required.

Trial balance — comparative
Choose File | No file chosen
Needed for ratio variances.

General ledger
Choose File | No file chosen
Needed for SA 240 testing.

Run the review | **Use the sample client**

The sample client, Bharat Precision Components Private Limited, is fictitious. No client data is used anywhere in this project.

Where each day of Level 2 appears

Day	Learning	Where it is used	Evidence in the repository
Day 1	Agent architecture, advanced prompting	Four versioned system instructions with changelogs	<code>prompts/</code>
Day 2	Gemini API, system instructions, model parameters, local models	The drafting layer, with an LM Studio path for confidential engagements	<code>narrate.py</code>
Day 3	Python fundamentals and core libraries	The whole engine — thirteen modules	<code>src/auditlens/</code>
Day 4	Full-stack build, PWA, deployment	Installable dashboard and workpaper download	<code>web/</code>
Day 5	n8n workflow automation	Quarterly review and journal entry alert	<code>automation/</code>

This table is in the README as well, so the evaluator can find each day's evidence without hunting for it.

What it does not do

Stated here rather than left for a reviewer to find.

Division I only

Ind AS (Division II) and NBFC presentation (Division III) are not implemented. The head list would be replaced; the engine around it would not.

It does not set materiality

It computes it from the benchmark and rate the auditor chooses, and flags a rate outside the customary range.

It verifies nothing

Existence, completeness and valuation remain the auditor's to establish. It analyses what the books say.

It forms no opinion

And concludes on no CARO clause.

It asserts no reason

For any movement in a ratio. The draft carries a bracketed instruction to management instead.

No client data

Anywhere — not in the repository, the samples or this video. Everything is built on a synthetic company.

Thank you

AuditLens turns the opening week of a statutory audit into a review the engagement team can start from — without ever putting a figure on the file that a Chartered Accountant cannot re-perform.

124

tests

11

sheets in the workpaper

5

days of Level 2 used